



World's #1 Automotive Company, Toyota

Strategic Innovation Analysis

How Toyota continues global market dominance with their strategy

Strategic Analysis Presentation | 2026
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Agenda

Six strategic lenses on Toyota's competitive position

01 Hybrid Focus Strategy

Full commitment to Hybrid Electric Vehicle (HEV) over pure Electric Vehicle (EV)

02 Market Dominance

Consecutive five years of automotive leader in global rankings

03 Core Competencies

Price · Efficiency · Reliability

04 Late Mover Positioning

Strategic follower advantage in Battery Electric Vehicle (BEV)

05 Ambidextrous Organization

Exploitation vs. exploration balance

06 Strategic Risks & Vision

2026 Strategic Risks & Vision

What is a Hybrid Electric Vehicle (HEV)?

HEV vs. ICE vs. BEV — understanding the powertrain spectrum

INTERNAL COMBUSTION ENGINE

ICE

Gasoline / Diesel only

How it works

Fuel burns in cylinders → mechanical energy
→ wheels

HYBRID ELECTRIC VEHICLE

HEV

Gasoline engine + Electric motor

How it works

Engine + motor work simultaneously. Battery
charged by regeneration braking and no plug
needed.

BATTERY ELECTRIC VEHICLE

BEV

100% Electric motor

How it works

Large battery pack → electric motor →
wheels. Charged via external power grid

STRATEGIC POSITIONING

Hybrid Focus Strategy

Toyota remains the focus on Hybrid Electric Vehicle (HEV) even with global Electric Vehicle (EV) pressure

CURRENT HEV LINE-UP

Prius

Camry

Corolla

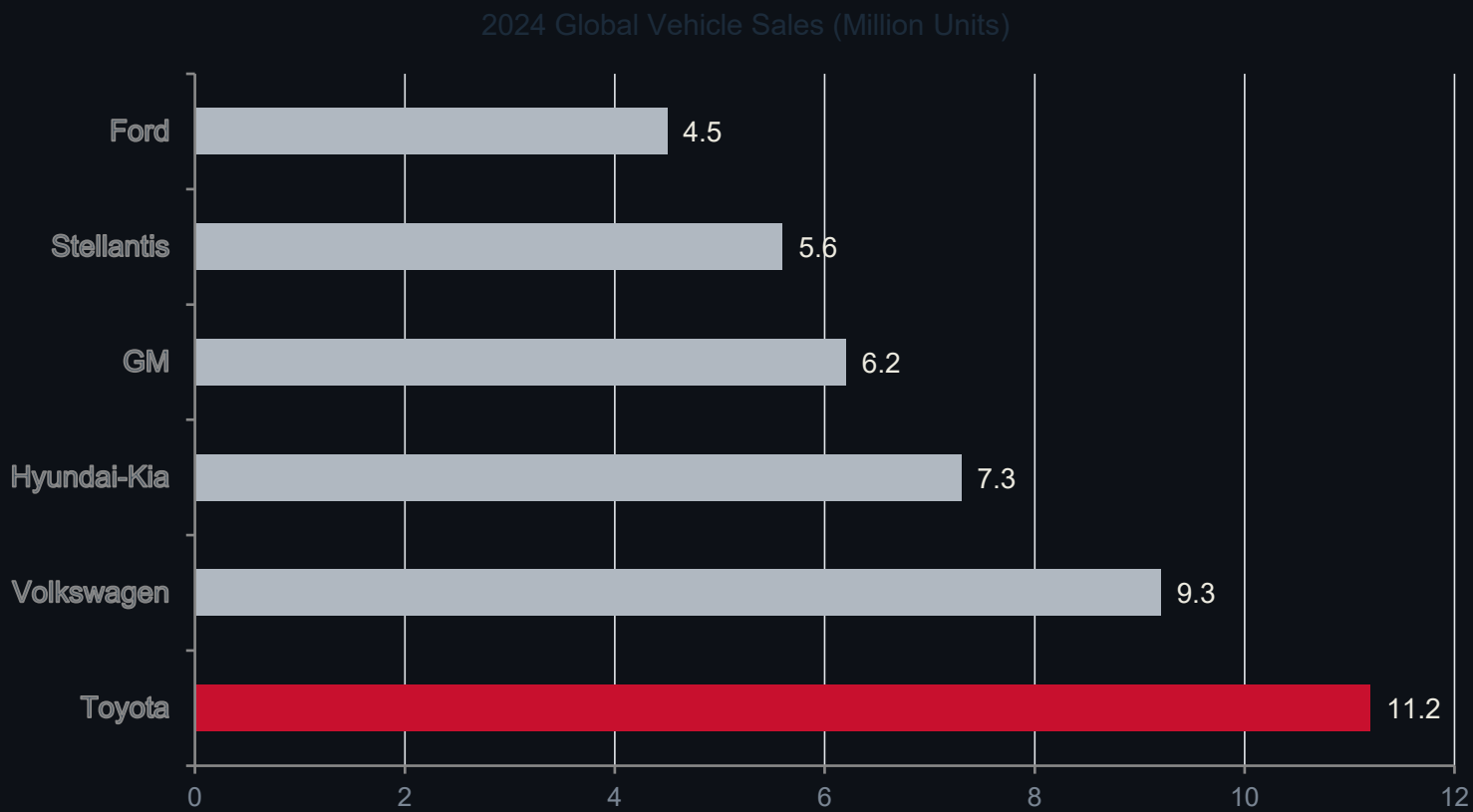
RAV4

Highlander



Market Dominance

Five consecutive years of global auto sales rankings



#1

Sales in Global rank
For 5 consecutive years

11.2M

Units sold
FY 2024

+19%

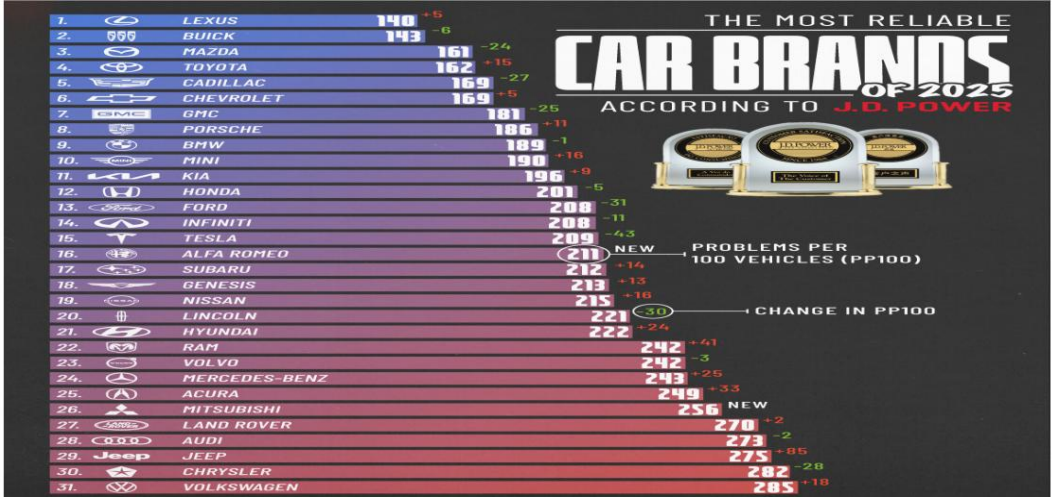
HEV sales growth
vs. prior year

38%

HEV share of
total Toyota sales

Core Competencies

The three pillars lead Toyota to the success



01

Accessible Pricing

\$22k

\$32k

Entry MSRP (권장 소비자 가격)

Avg. HEV MSRP

Widest HEV range from subcompact to SUV at price points.

02

Fuel Efficiency

52 MPG (22 KM/L) 3 models

Prius peak

Above 50 MPG

No rival has matched with comparable fuel economy.
Three current models exceed 50 MPG with are highly attractive to the customers who try to make economical decision.

03

High Reliability (Lexus #1, Toyota #6)

#1 for 27 years

Lexus and Toyota were considered the most reliable cars in the world by comparing the occurrence of problem on every 100 cars

Late Mover Advantage & Eliminate the risk of First mover

Observe & Learn

Toyota monitors first movers' failures and market reactions before committing resources to full transition to EV

Reduce Uncertainty

By entering later, Toyota avoids the costly trial-and-error of pioneering unproven technologies and markets.

Leverage Proven Demand

Toyota enters only when consumer demand is validated, ensuring higher Return in Investment (ROI) on technology investments.

No High R&D Cost

Toyota's late mover action reduces the R&D cost compared to the other first movers who had high R&D cost on developing Electrical Vehicles.

Rather than racing to be first, Toyota strategically decided to become Late Mover to the EV market to maximize competitive advantage.

Optimize the Core

- **Kaizen (Continuous Improvement)**

Every employee is empowered to identify and solve problems daily. Incremental improvements compound into transformative results to existing HEV/PHEV platforms

- **Toyota Production System (TPS)**

Just-in-Time manufacturing and Jidoka (automation with human touch) eliminate waste and ensure quality at every step.

- **Engineering Culture**

Decades of accumulated know-how in powertrain engineering, materials science, and vehicle architecture resulting into deepening hybrid powertrain expertise.

Innovate for the Future

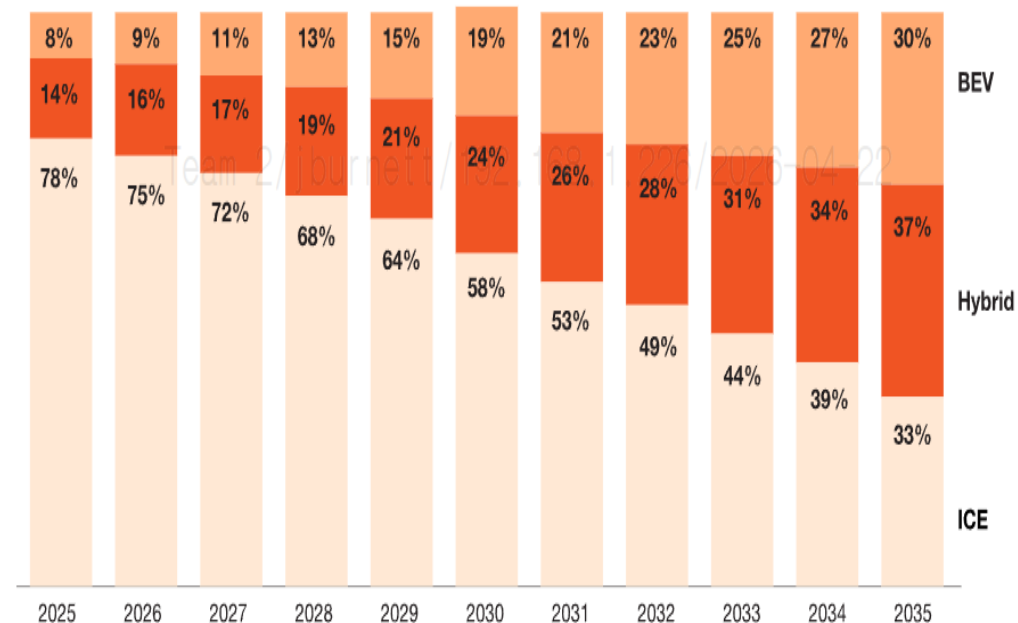
- **Battery Electric Vehicle (BEV) platform development**
- **Solid state battery R&D investment**
- **Hydrogen fuel cell technology (Mirai)**
- **Software-defined vehicle architecture (Automotive Driving Software, etc...)**
- **Smart city initiative (Woven City)**

Strategic Opportunities

STRENGTHS & OPPORTUNITIES

HEVs expected to gain US sales share through 2035 due to favorable economics and no charging infrastructure reliance

Estimated share of new US light vehicle sales by powertrain



- According to the consulting firm PWC, steady sales decline of Internal Combustion Engine (ICE) and strong growth of Hybrid Electric Vehicles (HEV) and Battery Electric Vehicle (BEV) is projected for next 10 years.
- Growth of the HEV market will be a great opportunity to Toyota who has the competitive advantage in the HEV market.
- There is an on-going EV Chasm in the industry, which could extend the era of HEV.
- Many nations have started to reduce the benefits gained from the EV Purchase ex) Tax Credit & Cheaper Vehicle Registration Fees.

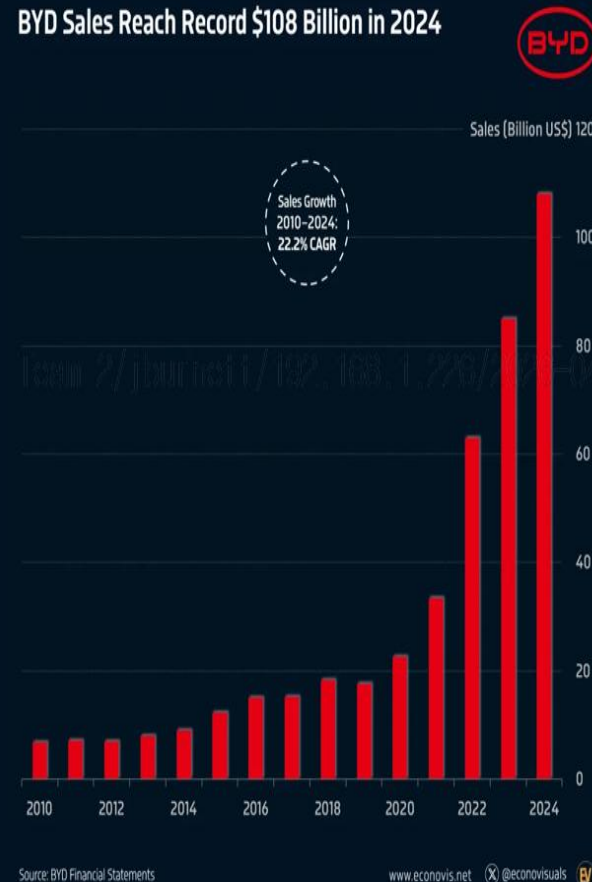
Strategic Risks & Challenges

RISKS & THREATS

Rise of the EV Competitors

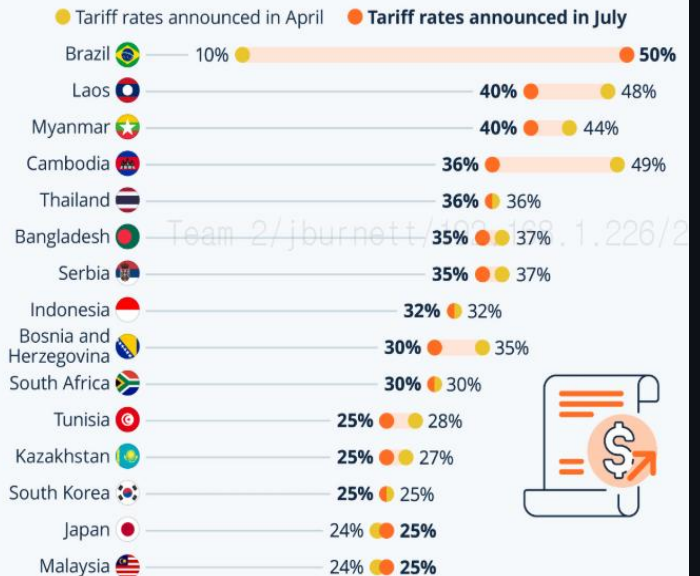
- Rapid Growth of BYD is closing HEV gap, Tesla also has a strong market reputation leading with the Full Self Driving (FSD) software.
- Lead to the major obstacles of BEV market entry of Toyota when it is necessary (EV market is strongly captured by Tesla, BYD before Toyota scales)
- Consumer perception as anti-EV among younger generation buyers
- Geopolitical Regulation. Such as Regulatory pressure accelerating BEV mandates (EU, China) and implemented tariffs due to the recent protectionism in Trade (U.S. Tariff Policy for foreign imports)

BYD Sales Reach Record \$108 Billion in 2024



Which Countries Have Received Trump's Tariff Letters?

New tariff rates for the following countries should they fail to reach a trade deal with the U.S. by Aug. 1



2026 Strategic Vision

Chairman Akio Toyota and CEO Koji Sato's 2026 framework: pause, deepen, lead



INTENTIONAL PAUSE

Quality over Blind Growth

Declared a deliberate slowdown consolidating operations and culture before the next expansion phase rather than chasing volume metrics.

HUMAN-CENTERED MANUFACTURING

Monozukuri + Hitozukuri

Robotics and AI are tools for elevating human craft, not replacing it. Toyota frames automation as an extension of its people development philosophy.

MARKET CONFIDENCE

Long-term Valuation Trust

Investors reward Toyota's disciplined strategy with sustained premium valuation. It is a signal that the market endorses the measured transition playbook.

2026 Vision: The Road Ahead

NEAR-TERM

Continuous HEV development

- Continued market leadership
- Focusing on what they are good at (Exploitation)

MID-TERM

BEV Acceleration

- Next generation BEV platforms
- Solid-state battery target

LONG-TERM

Hydrogen Economy

- Commercial vehicle
- Hydrogen infrastructure
- Industrial H2 applications

ECOSYSTEM

Software & Mobility

- Woven City development
- Autonomous driving R&D

Key Takeaways

- 1 Toyota has remained as the global leader in the automotive industry by strategically focusing on Hybrid Electric Vehicles (HEVs).
- 2 With Core competencies in pricing, fuel efficiency and high reliability, Toyota thrived to stay #1 global automaker.
- 3 Toyota's Late Mover strategy gained the advantage and eliminated the disadvantage of First Mover.
- 4 The ambidextrous organization balances exploitation of current strengths with exploration of future technologies.
- 5 Current market projection guides the strong continuous growth of HEV in the market, but there are still potential risk factors including accelerating Chinese EV competitors in the market and Geopolitical risk and regulations.



Thank you

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